



Cambridge International AS & A Level

ECONOMICS

9708/33

Paper 3 Multiple Choice

October/November 2022

1 hour 15 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

Done

This document has **12** pages.



when operating at PPC

2

Impossible to make someone better off without making someone else worse off.

1 When is Pareto efficiency achieved?

- A at a level of output that is productively and allocatively efficient
- B when everyone has equal amounts of goods and services
- C when social benefits are greater than private benefits
- D when social marginal benefit is greater than social marginal cost

(Both achieved at PPC)

Equality and efficiency are two different concepts.

($MSB > MSC$, underallocation) of resources, welfare loss

This represents existence of external benefits

2 The transport authority in a city is considering building an underground railway to reduce traffic congestion on the roads.

Which combination would represent an external cost and an external benefit of the use of this railway?

	external cost	external benefit
A	compensation is paid to businesses displaced by construction work	foreign tourists pay to use the railway
B	nearby residents suffer noise from passing trains	there are fewer admissions to hospital as <u>air quality improves</u>
C	overtime payments are made to workers to finish building the railway on time	productivity increases as employees arrive at work more punctually
D	reduced traffic means there are fewer road improvements needed	motorists spend less on fuel

private cost

private benefit and cost

External benefit

External benefit

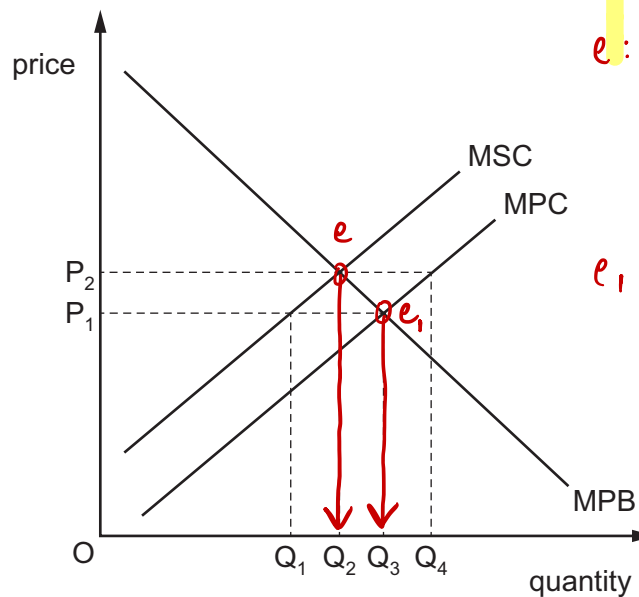
Supplier noise: EC

Private cost

External benefit

private cost ↓

3 The diagram shows the marginal private benefit (MPB), the marginal private cost (MPC) and the marginal social cost (MSC) of a firm producing chemicals. In a free market, price is at P_1 .



e: Socially optimum level of output.

$$MSB = MSC$$

e1: Private equilibrium, $MPC = MPB$

($= MSC$) as ($MEB = 0$)

Which quantity measures the overproduction of chemicals resulting in the negative production externality?

A Q_1, Q_2

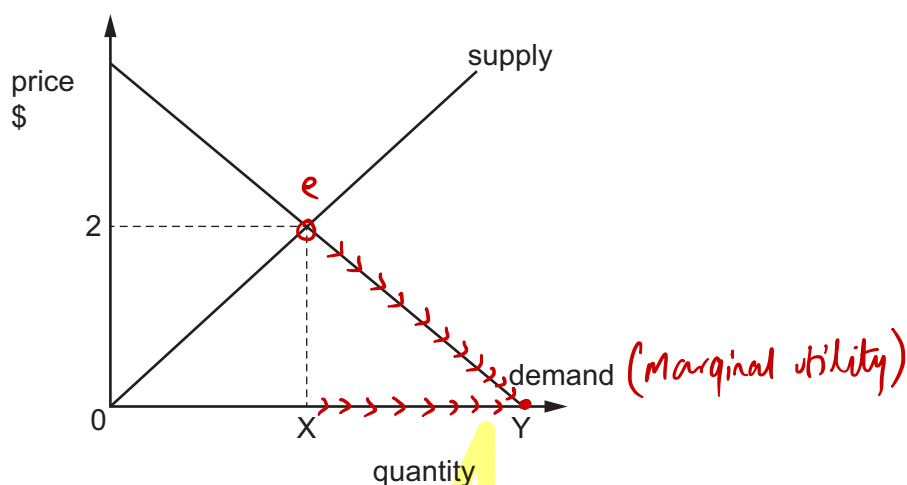
B Q_1, Q_3

C Q_2, Q_3

D Q_3, Q_4

- 4 The diagram shows the market price and equilibrium quantity of coffee consumed by an individual, Jo.

Jo buys X cups of coffee at \$2 per cup when she visits her favourite café.



When she is there, the café owner says it is offering unlimited free refills.

How is her consumption **most** likely to change?

TU can't be zero, MU = 0

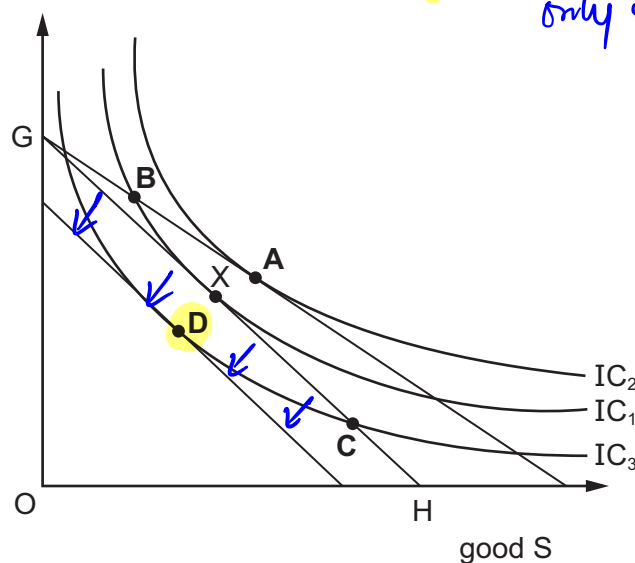
- A** Jo's demand for coffee will increase from X to Y where her total utility for coffee is zero.
- B** Jo's demand for coffee will increase from X to Y where her marginal utility for coffee is zero.
- C** Jo will not drink extra coffee because its marginal utility is less than \$2. *It's free*
- D** Jo will not drink extra coffee because her total utility will fall. *TU falls after MU = 0, that is when MU is negative*

- 5 The diagram shows a consumer's initial budget line is GH and a set of indifference curves IC₁, IC₂ and IC₃ for goods R and S. The original equilibrium for the consumer is point X.

The inflation rate is rising faster than money incomes. *Real income ↓, shift inwards,*

What will be the **most** likely new equilibrium for the consumer if all real income is spent?

only option D.

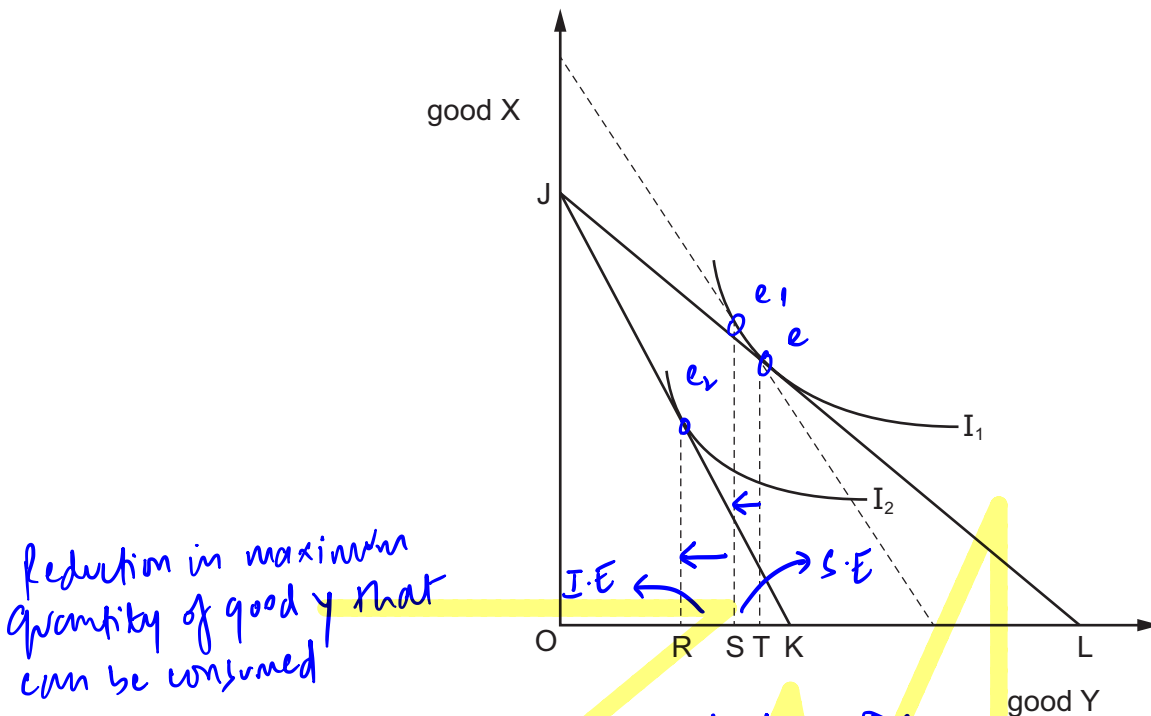


A, can be option when price of good S fall, tilt in budget line towards right.

option B and C are not equilibrium, as IC is not tangent to budget line!

- 6 The diagram shows an individual's budget lines and indifference curves.

The initial budget line is JL. There is then an increase in the price of good Y.



Which distance represents the substitution effect of the increase in price of good Y?

A LK

B SR

C TS

D TR

Income effect

Total effect = S.E + I.E

- 7 In which type of market structure are commercial banks usually found?

A perfect competition, because they all link their interest rates to that of the central bank

B perfect competition, because they offer identical products and services

C monopolistic competition, because a competitive market prevents them making excess profits

D oligopoly, because they are affected by the actions of other banks

Wrong, since there are few large firms who dominate, and can set price, thus generate abnormal profits.

✓ rivalrous behaviour, barriers to entry, interdependent

- 8 The manufacture of some sports equipment is dominated by very large firms but there are also smaller firms in the industry.

What enables a small firm to exist in such an industry?

A high concentration ratio that reduces competition

B high start-up costs that occur in a contestable market

C decreasing average cost as a large firm expands

D a requirement for personalised equipment

→ represents existence of monopoly, small firms can't survive.

→ cost advantage for large firms, again difficult for small firms

set up cost is high, difficult for small firms

personalised, only way small firms can exist along with large firms, niche market.

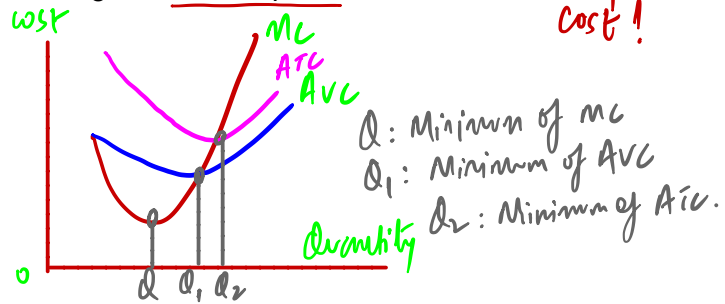
keeps on falling

Remember mirror picture.

9 The marginal cost curve of a firm passes through the lowest point of the firm's average variable cost

- A average fixed cost curve.
 B average variable cost curve.
 C marginal revenue curve.
 D total cost curve. (upward sloping)

It's a downward sloping line

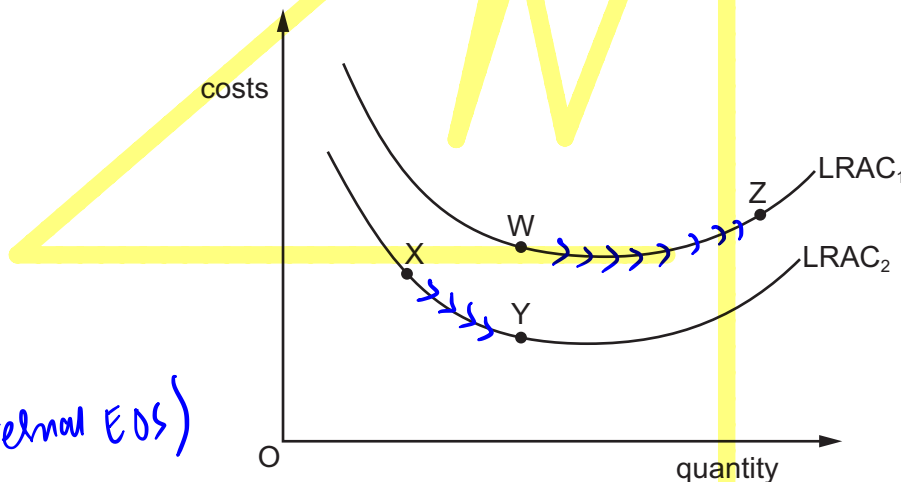


10 What would definitely be abnormal profits?

Only talks about revenue

- A the extra revenue received from the sale of a farmer's land to a house-building firm Same as option A.
 B the extra revenue received by a firm from an unexpectedly large increase in demand
 C the total revenue from the sale of a firm's products in excess of the total variable costs of the firm Only consider TVC!
 D the total revenue in excess of total costs of the firm above the minimum needed to keep the firm in business in the long run $TR > TC$: Abnormal profits.

11 The diagram shows the long-run average cost curves (LRAC) for a firm.



Shift (External EOS)

Which combination of movements correctly describes each type of economy or diseconomy of scale?

	internal economies of scale	internal diseconomies of scale	external economies of scale
A	W to Y	X to W	Z to W
B	W to Y	Y to W	Z to W
C	X to Y ✓	W to Z	W to Y
D	X to Y ✓	Y to X	W to Y

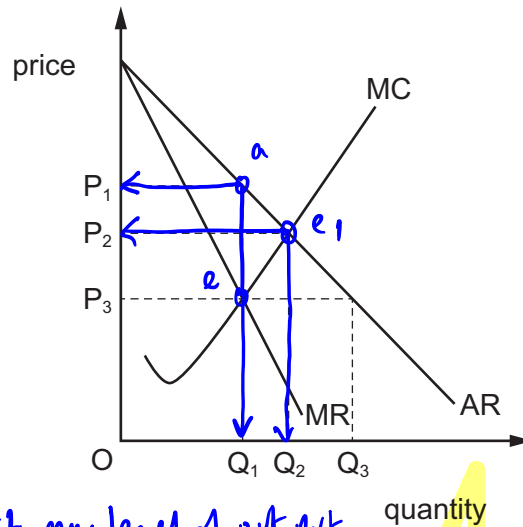
only movement along LRAC₂

only movement, rising part of LRAC₁

Shift down (LRAC₁ to LRAC₂)

fall in output

12 The diagram shows the cost and revenue curves for a monopoly market structure.



Profit max level of output

Allocative ($MC = AR(p)$)

A monopoly was producing at P_1Q_1 but changed its aim and now produces at P_2Q_2 .

What would not have caused this change?

- A It has stock it wants to sell. *cause, quantity ↑*
- B It is concerned about new entrants. *cause, lower price*
- C It wants to benefit from greater economies of scale. *cause, higher output, lower ATC*
- ✓ D It wants to maximise profits. *Not a cause, because it was operating at profit max level of output.*

13 A government regards fresh fruit and vegetables as merit goods, and subsidises agriculture to boost their production.

What could be a government failure arising from these subsidies?

- A cheaper fresh fruit and vegetables *cheaper, success*
- ✓ B land clearance reducing wildlife
- C lower spending on treating dietary illnesses *lower spending, benefits government and individuals, success.*
- D more jobs picking fruit and vegetables

employment ↑, success.

*land clearance,
unintended consequences,
failure.*

- 14 The table shows a firm that has four possible methods of production. Each method has a different cost and causes a different amount of pollution.

The government decides that polluting firms must buy pollution permits that cost \$90 each. Each permit allows the firm to emit 1 tonne of pollution. No pollution can be emitted without a permit.

Which method of production has least total cost?

	cost of production (\$ per day)		pollution caused (tonnes per day)
A	320	+	3
B	380	+	2
C	480	+	1
D	700	+	0

Total cost = cost of production + pollution caused

$3 \times 90 = 270$
 $2 \times 90 = 180$
 $1 \times 90 = 90$
 $0 \times 90 = 0$
 590
 560 → least.
 570
 700

- 15 The table shows the average incomes of the richest 20% of households and the poorest 20% of households in the UK (2015–2016), and the effects of government taxation and benefits on average income.

	average income (£) of richest 20%		average income (£) of poorest 20%
before taxes and benefits	85 000	78 000	7 000
after direct taxes and cash benefits	68 000	-22	13 000
after all taxes (direct and indirect) and all benefits	63 000	46 000	17 000

What can be concluded from the information in the table?

- A The effects of direct taxation have affected the rich less than the poor.
 B The government's policy achieved income equality across households.
 C The government redistributed all income taken from the rich to the poor. No,
 D The government's policy reduced the income inequality between the poor and the rich.

There are still differences, so no, income equality not achieved

gap of 78 000 to 46 000
 gap reduced (inequality ↓)

-22 taken from rich, +10 given to poor.

- 16 A fashion model is paid \$500 000 a year.

Transfer earnings

If the next best paid job he could get is as a teacher at \$100 000 a year, what are his transfer earnings and his economic rent?

	transfer earnings \$	economic rent \$
A	zero	400 000 ✓
B	100 000 ✓	400 000 ✓
C	400 000	zero
D	400 000	100 000

$$T.E = \$100K$$

Excess, economic rent, $\$500 - \$100K = \$400K$.

* Transfer earnings represent the minimum amount the fashion model could earn in another job, whereas economic rent is the excess amount he earns in his current job beyond what he could earn in his next best alternative job.

- 17 What would be the most likely effect of the imposition of a national maximum wage *effective* below the market equilibrium on the labour market for famous television celebrities?

- A** a reduction in the number of jobs for television celebrities, *no, $Q_d > Q_s$, shortage*
- B** an increase in other methods of rewarding television celebrities *Non-financial rewards*
- C** greater movement of celebrities between television channels *no, $Q_s \downarrow$*
- D** increased employment of foreign television celebrities *no, shortage ($Q_d > Q_s$)
↳ employment determine*

- 18 Which government measure is most likely to encourage faster and more sustainable economic growth in a country?

- A** subsidies to firms using recycled materials in production
- B** grants for the exploration and exploitation of new oil deposits *External cost (unsustainable)*
- C** increased spending on environmental education in schools *long term, so not faster*
- D** tougher legislative controls on emissions of air and water pollution, *reduce pollution, but these
regulation will increase cost of production, $AS \downarrow$, output $\downarrow$.*
- depletion of natural resource.*

- 19 Which statement about National Income accounting is correct when Gross Domestic Product (GDP) is converted into Net National Income (NNI)? *= $GDP - depreciation$*

- A** An allowance for depreciation has to be made, because the NNI does not include output that replaces capital that has been used up.
- B** Both GDP and NNI have to be calculated by the incomes method, because that is what NNI is measuring. *↳ no, output and expenditure method*
- C** Double counting is not a problem if the conversion uses the output method, but it is when using the expenditure method. *↳ It is, intermediary vs final goods*
- D** The value of exports needs to be added, because exports generate income for citizens. *→ already added in GDP*

Gross Domestic Product (GDP) is calculated as: $C + I + G + (X - M)$

→ where **I** represents gross investment, which does not account for depreciation.

Net National Income (NNI), on the other hand, aims to measure the net income generated by the economy. **To calculate NNI, we use net investment, which is gross investment minus depreciation.**

By subtracting depreciation from gross investment, we account for the wear and tear on capital assets, also known as fixed capital consumption. This allows us to exclude the value of capital consumed in the production process and arrive at the net income generated by the economy.

D) Purchasing Power Parity (PPP) is a theory that adjusts for differences in the cost of living between countries, making it a suitable method for comparing living standards across countries. **Since this is not a valid reason to question the accuracy of the data, option D becomes correct.**

option A, B, C : are valid reasons to question the accuracy, open reasons file.

- 20 Real GNP per capita is often used when comparisons of living standards are made between a developed and a developing country.

What is **not** a good reason to question the accuracy of this comparison of living standards?

- A It is not possible to use price indices accurately when computing real figures because spending patterns are different. *Spending patterns are different, so comparison will not be valid*
- B People in developed countries enjoy very different amounts of leisure time to people in developing countries. *leisure time is important factor for living standard, difference in it can create questions*
- C The extent of the unrecorded economy is very different in the two countries.
- ☒ D The purchasing power parity theory has been used to make comparisons. *Not a good reason*

High in developing, inaccurate GNP, comparison not valid.

- 21 Based on the International Labour Office definition of unemployment, which individual is **most** likely to be classified as unemployed?

→ Not actively seeking

A a single parent who would like to work but cannot afford to pay for child-care facilities

B a teacher who has decided to retire permanently *Not part of labour force*

C a redundant steel worker who is not actively seeking alternative work *Same as option A*

☒ D a student who is desperately seeking any weekend job to supplement his income

Seeking ⇒ unemployed

- 22 What is **most** likely to lead to an increase in labour productivity?

A encouraging women to enter the workforce *No. of labours ↑, labour productivity ↓*

☒ B increasing automation, *capital intensive, less labour, higher output, AP_L ↑, productivity ↑*

C raising the retirement age, *old workers ↑, inefficient, labour productivity ↓*

D reducing the division of labour, *workers taking wider range of task, productivity ↓*

$$MV = PT$$

V and T

- 23 Which components of the Quantity Theory of Money are considered constant and which are considered variable? *M and P*

	money supply <i>M</i>	velocity of circulation <i>V</i>	price level <i>P</i>	transactions <i>T</i>
A	constant	variable	constant	variable
B	constant	constant ✓	variable ✓	constant ✓
☒ C	variable ✓	constant ✓	variable ✓	constant ✓
D	variable ✓	variable	constant	variable

$$MV = PT$$

V and T → constant

$$M \uparrow = P \uparrow$$

- 24 Four students are asked to complete a table showing the aggregate demand equation and the multiplier formula for a closed economy without a government. $2 \text{ sector} = \frac{1}{s}$ $\text{Saving} = \text{Investment}$

Which student is correct?

	aggregate demand	multiplier
A	$C + I$ ✓	$\frac{1}{\text{marginal propensity to consume}}$
B ✓	$C + I$ ✓	$\frac{1}{\text{marginal propensity to save}}$ ✓
C	$C + I - S$	$\frac{1}{\text{marginal propensity to consume}}$
D	$C + I - S$	$\frac{1}{\text{marginal propensity to save}}$ ✓

3 sector = $\frac{1}{s+t}$ $s+t = I+G$

4 sector = $\frac{1}{s+t+m}$ $s+t+m = I+G+X$

- 25 Keynesian and Monetarist economists believe different things about the way the economy works.

Which combination is correct?

	Keynesian	Monetarist
A	decreasing AD will always lead to an increase in economic growth ✗	economic growth is achieved using fiscal policy ✗
B ✓	increasing AD brings the economy out of recession ✓	the economy always tends to full employment in the long run ✓
C	increasing AD will always lead to increased employment ✓	economic growth is achieved by cutting taxation ✗
D	increasing AS brings the economy out of recession ✓	full employment will always be achieved in the long run

- No, AD ↓ growth ↓
- correct, AD is the main determinant for economic activity, 26 The table shows real GDP and unemployment for an economy.
- No, monetarist believe monetary policy
- correct, long run Phillips curve
- That's part of fiscal policy, so no.
- correct, Keynes believe
- correct, as option B
- Keynes consider AD, not AS to come out of recession

economic indicators	2019	2021
real GDP (\$ billions)	40 000	38 000
unemployment (millions)	2	3

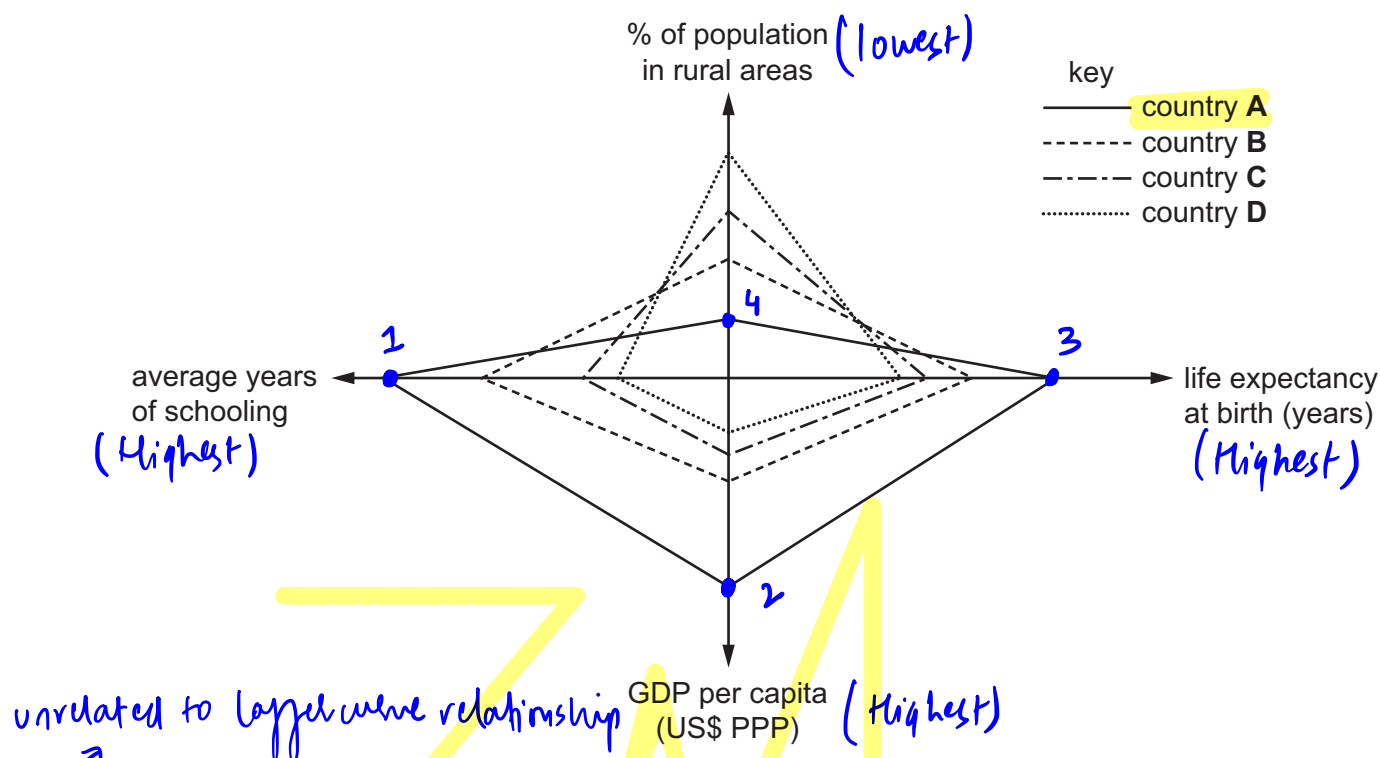
What can be concluded from the data?

- A Demand-pull inflation is likely to increase. $\text{unemployment is increasing, AD } \downarrow, P \downarrow$
- B Potential output is likely to increase. $\text{productive capacity to increase, no such information, also real GDP is falling.}$
- C The balance of payments deficit is likely to increase.
- D ✓ The budget deficit is likely to increase. $\text{unemployment } \uparrow, \text{ incomes } \downarrow, C \downarrow, M(IE) \downarrow, \text{ BOP is likely to decrease, not increase. deficit}$
- ✓ $\text{unemployment } \uparrow, \text{ Tax revenue } \downarrow, \text{ unemployment benefits } \uparrow, G \uparrow, \text{ Budget deficit } \uparrow.$

Highest average years of schooling, GDP per capita, life expectancy at birth and lowest % population in rural areas 11

27 The diagram shows data on various aspects of four countries.

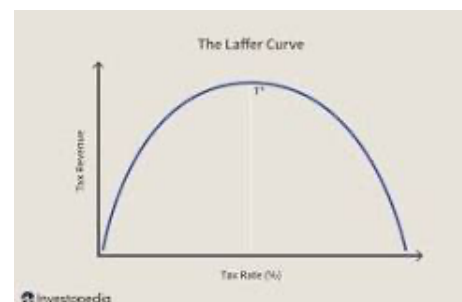
Which country is likely to be most developed?



28 What is illustrated by the Laffer curve?

- A As income increases, fewer hours will be worked.
- B As income increases, tax revenue will increase.
- C As the tax rate increases, tax revenue always increases.
- ☒ D As the tax rate increases, tax revenue will eventually fall.

see the turning point.



29 A government decides to increase direct taxation.

Which combination would describe the impact of this policy on unemployment, growth and balance of payments?

	unemployment	growth	balance of payments
A	improves	improves	improves ✓
B	improves	improves	worsens
☒ C	worsens ✓	worsens ✓	improves ✓
D	worsens ✓	worsens ✓	worsens

Tax ↑
 Disposable income ↓
 AD ↓
 output ↓
 Unemployment ↑
 → growth ↓
 Income ↓
 Spend ↓
 m(i.e) ↓
 out flows ↓

- 30 How will inflation and unemployment most likely be affected by a rise in the rate of income tax if government expenditure does not change?

	inflation	unemployment
☒ A	falls ✓	rises
☐ B	falls ✓	falls
☐ C	rises	rises
☐ D	rises	falls

Disposable income ↓
 C ↓
 AD ↓
 Price ↓
 output ↓
 Downward multiplier
 Unemployment ↑

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